THE CHARITABLE AND RELIGIOUS TRUSTS ACT, 1920

ARRANGEMENT OF SECTIONS

SECTIONS

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THE CHARITABLE AND RELIGIOUS TRUSTS ACT, 1920
ACT NO. 14 OF 1920

[20*th March*, 1920.]

An Act to provide more effectual control over the administration of Charitable and Religious Trusts.

WHEREAS it is expedient to provide facilities for the obtaining of information regarding trusts created for public purposes of a charitable or religious nature, and to enable the trustees of such trusts to obtain the directions of a Court on certain matters, and to make special provision for the payment of the expenditure incurred in certain suits against the trustees of such trusts; It is hereby enacted as follows:—

1. Short title and extent.— (*1*) This Act may be called the Charitable and Religious Trusts Act, 1920.

(*2*) It extends[1] to the whole of India [2][*except the State of Jammu and Kashmir]:

Provided that the [3][Government of any State] may, by notification in the Official Gazette, direct that this Act, or any specified part thereof, shall not extend to [4][that State or any specified area therein] or to any specified trust or class of trusts.

2. Interpretation.— In this Act, unless there is anything repugnant in the subject or context, "the Court" means the Court of the District Judge [5][or any other Court empowered in that behalf by the State Government] and includes the High Court in the exercise of its ordinary original civil jurisdiction.

3. Power to apply to the Court in respect of trusts of a charitable or religious nature.— Save as hereinafter provided in this Act, any person having interest in any express or constructive trust created or existing for public purpose of a charitable or religious nature may apply by petition to the court within the local limits of whose jurisdiction any substantial part of the subject-matter of the trust is situate to obtain an order embodying all or any of the following directions, namely:—

(*1*) directing the trustee to furnish the petitioner through the Court with particulars as to the nature and objects of the trust, and of the value, condition, management and application of the subject-matter of the trust, and of the income belonging thereto, or as to any of these matters, and

(*2*) directing that the accounts of the trust shall be examined and audited:

Provided that no person shall apply for any such direction in respect of accounts relating to a period more than three years prior to the date of the petition.

4. Contents and verification of petition.— (*1*) The petition shall show in what way the petitioner claims to be interested in the trust, and shall specify, as far as may be, the particulars and the audit which he seeks to obtain.

(*2*) The petition shall be in writing and shall be signed and verified in the manner prescribed by the Code of Civil Procedure, 1908 (5 of 1908), for signing and verifying plaints.

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1. This Act has been extended to Berar by the Berar Laws Act, 1941 (4 of 1941) and rep. in Orissa by the Orissa Hindu Religious Endowments Act, 1939 (Orissa 4 of 1939). The provisions of this Act, in so far as they are inconsistent with the provisions of the Bengal Wakf Act, 1934 (Ben. 13 of 1934), do not apply to any Wakf property in Bengal: *see* s. 61 of that Act,
This Act has been extended in its application to Dadra and Nagar Haveli (w.e.f. 1.7-1965) by Reg. 6 of 1963, s. 2 and the First Schedule, to Pondicherry (w.e.f. 1-10-1963): *vide* Reg. 7 of 1963. s. 3 and the First Schedule and to Goa, Daman and Diu by Reg. 11 of 1963, s. 3 and the Schedule (w.e.f. 1-2-1965).
This Act has been declared to be in force in the Khondmals District by the Khondmals Laws Regulation, 1936 (4 of 1936), s. 3 and the Schedule; and in the Angul District by the Angul Laws Regulation, 1936 (5 of 1936), s. 3 and the Schedule,
This Act shall not apply to any wakf to which the Wakf Act, 1954 (29 of 1954) applies.
This Act has been amended in its application to Rajasthan by Rajasthan Act 42 of 1959.
This Act has ceased to be in Force in its application to the State of Madras by Madras Act 22 of 1959.
2. Subs. by Act 3 of 1951, s. 3 and the Schedule for "except Part B States".
3. Subs. by the A.O. 1937, for "G.G. in C.".
4. Subs., *ibid.*, for "any specified province or area".
5. Ins. by Act 41 of 1923, s. 2.
*. *Vide* Notification No. S.O. 3912 (E), dated 30th October, 2019, this Act is made applicable to the Union territory of Jammu and Kashmir and the Union territory of Ladakh.

5. Procedure on petition.— (*1*) If the Court on receipt of a petition under section 3, after taking such evidence and making such inquiry, if any, as it may consider necessary, is of opinion that the trust to which the petition relates is a trust to which this Act applies, and that the petitioner has an interest therein, it shall fix a date for the hearing of the petition, and shall cause a copy thereof, together with notice of the date so fixed, to be served on the trustee and upon any other person to whom in its opinion notice of the petition should be given.

(*2*) On the date fixed for the hearing of the petition, or on any subsequent date to which the hearing may be adjourned, the Court shall proceed to hear the petitioner and the trustee, if he appears, and any other person who has appeared in consequence of the notice, or who it considers ought to be heard, and shall make such further inquiries, if any, as it thinks fit. The trustee may and, if so required by the Court, shall at the time of the first hearing or within such time as the Court may permit present a written statement of his case. If he does present a written statement, the statement shall be signed and verified in the manner prescribed by the Code of Civil Procedure 1908 (5 of 1908), for signing and verifying pleadings.

(*3*) If any person appears at the hearing of the petition and either denies the existence of the trust or denies that it is a trust to which this Act applies, and undertakes to institute within three months a suit for a declaration to that effect and for any other appropriate relief, the Court shall order a stay of the proceedings and, if such suit is so instituted, shall continue the stay until the suit is finally decided.

(*4*) If no such undertaking is given, or if after the expiry of the three months no such suit has been instituted, the Court shall itself decide the question.

(*5*) On completion of the inquiry provided for in sub-section (*2*), the Court shall either dismiss the petition or pass thereon such other order as it thinks fit:

Provided that, where a suit has been instituted in accordance with the provisions of sub-section (*3*), no order shall be passed by the Court which conflicts with the final decision therein.

(*6*) Save as provided in this section, the Court shall not try or determine any question of title between the petitioner and any person claiming title adversely to the trust.

6. Failure of trustee to comply with order under section 5.— If a trustee without reasonable excuse fails to comply with an order made under sub-section (*5*) of section 5, such trustee shall, without prejudice to any other penalty or liability which he may incur under any law for the time being in force, be deemed to have committed a breach of trust affording ground for a suit under the provisions of section 92 of the Code of Civil Procedure, 1908 (5 of 1908); and any such suit may, so far as it is based on such failure, be instituted without the previous consent of the Advocate General.

7. Powers of trustee to apply for directions.— (*1*) Save as hereinafter provided in this Act, any trustee of an express or constructive trust created or existing for public purpose of a charitable or religious nature may apply by petition to the Court, within the local limits of whose jurisdiction any substantial part of the subject-matter of the trust is situate, for the opinion, advice or direction of the Court on any question affecting the management or administration of the trust property, and the Court shall give its opinion, advice or direction, as the case may be, thereon:

Provided that the Court shall not be bound to give such opinion, advice or direction on any question which it considers to be a question not proper for summary disposal.

(*2*) The Court on a petition under sub-section (*1*), may either give its opinion, advice or direction thereon forthwith, or fix a date for the hearing of the petition, and may direct a copy thereof, together with notice of the date so fixed, to be served on such of the person interested in the trust, or to be published for information in such manner, as it thinks fit.

(*3*) On any date fixed under sub-section (*2*) or on any subsequent date to which the hearing may be adjourned, the Court, before giving any opinion, advice or direction, shall afford a reasonable opportunity of being heard to all persons appearing in connection with the petition.

(*4*) A trustee stating in good faith the facts of any matter relating to the trust in a petition under sub-section (*1*), and acting upon the opinion, advice or direction of the Court given thereon, shall be

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deemed, as far as his own responsibility is concerned, to have discharged his duty as such trustee in the matter in respect of which the petition was made.

8. Costs of petition under this Act.— The costs, charges and expenses of and incidental to any petition, and all proceedings in connection therewith, under the foregoing provisions of this Act, shall be in the discretion of the Court, which may direct the whole or any part of any such costs, charges and expenses to be met from the property or income of the trust in respect of which the petition is made, or to be borne and paid in such manner and by such persons as it thinks fit:

Provided that no such order shall be made against any person (other than the petitioner) who has not received notice of the petition and had a reasonable opportunity of being heard thereon.

9. Savings.— No petition under the foregoing provisions of this Act in relation to any trust shall be entertained in any of the following circumstances, namely:—

(*a*) if a suit instituted in accordance with the provisions of section 92 of the Code of Civil Procedure 1908 (5 of 1908), is pending in respect of the trust in question;

(*b*) if the trust property is vested in the Treasurer of Charitable Endowments, the Administrator-General, the Official Trustee, or any Society registered under the Societies Registration Act, 1860 (21 of 1860); or

(*c*) if a scheme for the administration of the trust property has been settled or approved by any Court of competent jurisdiction, or by any other authority acting under the provisions of any enactment.

10. Power of Courts as to costs in certain suits against trustees of charitable and religious trusts.— (*1*) In any suit instituted under section 14 of the Religious Endowments Act, 1863 (20 of 1863), or under section 92 of the Code of Civil Procedure, 1908 (5 of 1908), the Court trying such suit may, if, on application of the plaintiff and after hearing the defendant and making such inquiry as it thinks fit, it is satisfied that such an order is necessary in the public interest, direct the defendant either to furnish security for any expenditure incurred or likely to be incurred by the plaintiff in instituting and maintaining such suit, or to deposit from any money in his hands as trustee of the trust to which the suit relates such sum as such Court considers sufficient to meet such expenditure in whole or in part.

(*2*) When any money has been deposited in accordance with an order made under subsection (*1*), the Court may make over to the plaintiff the whole or any part of such sum for the conduct of the suit. Before making over any sum to the plaintiff, the Court shall take security from the plaintiff for the refund of the same in the event of such refund being subsequently ordered by the Court.

11. Provisions of the Code of Civil Procedure to apply.— (*1*) The provisions of the Code of Civil Procedure, 1908 (5 of 1908), relating to—

(*a*) the proof of facts by affidavit,

(*b*) the enforcing of the attendance of any person and his examination on oath,

(*c*) the enforcing of the production of documents, and

(*d*) the issuing of commissions,

shall apply to all proceedings under this Act, and the provisions relating to the service of summonses shall apply to the service of notices thereunder.

(*2*) The provisions of the said Code relating to the execution of decrees shall, so far as they are applicable, apply to the execution of orders under this Act.

12. Barring of appeals.— No appeal shall lie from any order passed or against any opinion, advice or direction given under this Act.[1]

1. In the application of this Act to West Bengal, a new s. 13 providing that the provisions of this Act shall not, so far as they are inconsistent with those of the Bengal Wakf Act, 1934 (Ben. 13 of 1934), apply to any Wakf property in West Bengal, has been ins.: *see* Bengal Wakf Act, 1934, s. 81.